Nan Ya Plastics

Buy on CCL price hikes and AI-led mix upgrade

Equities

Taiwan

Oil Companies, Secondary

12-month rating	**Buy** *Prior : Neutral*
12m price target	**NT$300.00** *Prior : NT$30.00*
Price (24 Sep 2026)	**NT$238.00**

RIC: 1303.TW **BBG:** 1303 TT

Trading data and key metrics

52-wk range	NT$244.00-38.55
Market cap.	NT$1,888b/US$59.3b
Shares o/s	7,931m (ORD)
Free float	57%
Avg. daily volume ('000)	87,293
Avg. daily value (m)	NT$17,581
Common s/h equity (12/26E)	NT$458b
P/BV (12/26E)	4.1x
Net debt to EBITDA (12/26E)	1.4x

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	1.75	13.71	683	13.25
12/27E	1.87	20.02	973	18.12
12/28E	2.17	22.91	955	26.72

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Assume coverage with a Buy and a higher price target of NT$300.00

We assume coverage of Nan Ya Plastics (NYP) with a Buy and PT of NT$300. The share price is up c310% YTD, while Nan Ya PCB (NYPCB), 61% owned by NYP, is up c420% YTD. We believe most of NYP's share price appreciation has been driven by the value of its listed holdings rather than its core Copper Clad Laminate (CCL) business. We continue to flag earnings upside potential from CCL, driven by ASP increases of 90%/85% in 2026/27E and operating margin expansion from 4.1% in 2025 to 23%/30% in 2026/27E (H126 at c17%). Key drivers include supply led price hikes, a richer AI product mix and NYP's integrated CCL value chain. In petrochemicals, we expect the MEG-ethylene spread to turn positive in Q326, with 2026-27E spreads aided by geopolitical supply tightness. Our 2026/27E earnings are 15%/23% above Bloomberg consensus. Further upstream tightness and high-end AI CCL order wins are the upside catalysts.

CCL ASP up 90%/85% in 2026/27E

We expect CCL ASP to rise 90%/85% YoY in 2026/27E: c80%/55% from supply led price hikes (see UBS Tech team's CCL sector report) and c10%/30% from product mix upgrades. Conventional CCL prices should be supported by AI capacity crowding out commodity grades, higher material intensity and limited near-term upstream additions. Industry CCL prices are up 100% in 2026 YTD; part should flow into 2027E as contracts reset. We expect M6+ revenue contribution to rise from 8% of CCL revenue in Q326 to 25% in 2027E with ASPs 3-10x higher than conventional FR4 products.

Vertical integration and ASP increase to support 23-30% CCL OPM

NYP's CCL chain covers glass cloth, epoxy resin and copper foil. We view epoxy resin and copper foil as fully self-supplied and most glass cloth as internally sourced. This should support value capture as CCL prices rise. Based on historical sensitivity, we estimate that a US$1.00 increase in CCL ASP would translate to an incremental US$0.45/0.37 per piece increase in operating profit in 2026/27E. As a result, we forecast CCL OPM of 23%/30% in 2026/27. In-house material R&D could accelerate AI CCL qualification, while the partnership with Nittobo would secure Gen2 low-Dk glass cloth and support the ramp of high-end products.

Valuation: new price target of NT$300.00

We value NYP using SOTP: the UBS PT of NT$1,150 for NYPCB; 19x 2027E EV/EBITDA for non-PCB electronic materials (CCL and upstream); 10x 2027E EV/EBITDA for petchem (chemicals, plastics and polyester), all in line with peers. Listed stakes (FPCC, FPC, FCFC, NYT, Mai Liao Power and others) at UBS's PTs, market values, or peer multiples. After a 10% HoldCo discount, our PT is NT$300.00, implying 15x 2027E PE, 0.3x PEG and 4.4x P/BV.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	259,755	259,608	259,912	355,547	474,311	543,114	562,051	567,520
EBIT (UBS)	1,984	448	3,704	48,552	83,230	108,250	94,840	90,438
Net earnings (UBS)	6,310	3,340	4,519	108,755	158,805	181,717	102,489	75,009
EPS (UBS, diluted) (NT$)	0.80	0.42	0.57	13.71	20.02	22.91	12.92	9.46
DPS (net) (NT$)	0.70	0.70	0.80	10.54	9.90	9.18	7.07	6.34
Net (debt) / cash	(76,176)	(97,943)	(108,854)	(101,892)	(137,801)	(136,812)	(107,174)	(72,598)

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	0.8	0.2	1.4	13.7	17.5	19.9	16.9	15.9
ROIC (EBIT) %	0.7	0.2	1.3	16.8	27.0	33.3	28.9	28.2
EV/EBITDA (UBS core) x	15.6	11.3	8.6	23.7	15.3	11.9	13.2	14.2
P/E (UBS, diluted) x	90.2	NM	66.2	17.4	11.9	10.4	18.4	25.2
Equity FCF (UBS) yield %	2.1	1.6	(0.9)	0.7	2.5	4.2	5.4	4.8
Dividend yield (net) %	1.0	1.4	2.1	4.4	4.2	3.9	3.0	2.7

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 238.00 on 24-Sep-2026

This report has been prepared by UBS Securities Asia Limited. **ANALYST CERTIFICATION AND REQUIRED DISCLOSURES, INCLUDING INFORMATION ON THE QUANTITATIVE RESEARCH REVIEW PUBLISHED BY UBS, BEGIN ON PAGE 22.**

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UBS Research THESIS MAP a guide to our thinking and what´s where in this report

PIVOTAL QUESTIONS

Q: Will CCL and electronic materials (EM) become the key profit drivers?
Yes. We expect EM revenue to rise from 46% in 2025 to 59%/69% in 2026/27E, and to account for nearly all EBIT. Within EM, CCL would be the growth engine, up from 24% of EM revenue in 2025 to 31%/43% in 2026/27E.

Q: Will the conventional CCL upcycle last through 2027?
Yes. UBS's Tech team expects conventional CCL prices and profits to keep rising in 2027E on: 1) high-end AI grades taking capacity from commodity CCL; 2) higher material intensity in AI-CCL lifting upstream demand; and 3) tight weaving capacity limiting near-term capacity additions.

Q: Can NYP achieve higher volume in AI-CCL
Yes. Vertical integration would likely help "recipe" changes and customer qualification. The Nittobo tie-up should secure low-Dk glass and support high-end ramp.

UBSVIEW

We assume coverage of NYP with a Buy rating and a PT of NT$300.00. The share price is up c310% YTD, while NYPCB, 61%-owned by NYP, is up c420% YTD. We think most of the share price movement reflects its listed holdings rather than a full re-rating of the core CCL business. We continue to expect earnings upside from CCL ASP growth of 90%/85% and CCL OPM expansion from 4.1% in 2025 to 23%/30% in 2026/27E (H126 at c17%), driven by supply led price hikes, a richer AI mix and its integrated CCL value chain. For petchem, we expect the MEG-ethylene spread to turn positive in Q326E, with 2026/27E margins supported by geopolitical led supply tightness. Further upstream tightness and high-end AI CCL order wins are the key upside catalysts.

EVIDENCE

1) Conventional CCL prices are up nearly 100% YTD vs. 2025; hikes continue to occur on a monthly basis. **2)** CCL and glass cloth are running at close to full capacity (c90% utilisation). An increase in capacity of 6.2m pcs/month in Q326 to 6.5m by Q426; 6.7-7.0m by end-2027 according to the company. **3)** M7 and M8 low-/ultra low-loss CCL products are now listed on the company's website (updated in September 2026). **4)** The November 2025 partnership with Nittobo should help the company secure next-gen low-Dk glass yarn supply for high-end AI CCL.

WHAT´S PRICED IN?

NYP is trading at 12x 2027E PE and 3.6x 2027E P/BV, significantly below EM peers at 36x 2027E PE and 8.2x P/BV. Our PT of NT$300.00 implies 15x 2027E PE and 4.4x 2027E P/BV. We believe the gap reflects concerns about petchem, rather than improved CCL profitability.

UPSIDE/DOWNSIDE SPECTRUM



Value drivers (2027E)	CCL annual volume (m)	CCL ASP (NT$/piece)	Ex PCB EM CCL OPM	EBITDA (NT$ bn)	ROE
NT$400.00 upside	90	2,000	35%	125.2	33%
NT$300.00 base	80	1,753	30%	107.9	31%
NT$180.00 downside	60	700	5.0%	51.2	15%

Source: UBS estimates

COMPANY DESCRIPTION

Nan Ya Plastics one of the core companies of Taiwan's Formosa Group. Its businesses span electronic materials, chemicals, plastics processing and polyester. NYP is one of the largest CCL producers, with a vertically integrated CCL value chain, supplying CCL to its 61%-owned subsidiary Nan Ya PCB and other printed circuit board (PCB) makers. It owns 29% of Nan Ya Tech, the only Taiwan-based dynamic random access memory (DRAM) brand. It also owns 23% of Formosa Petrochemical.

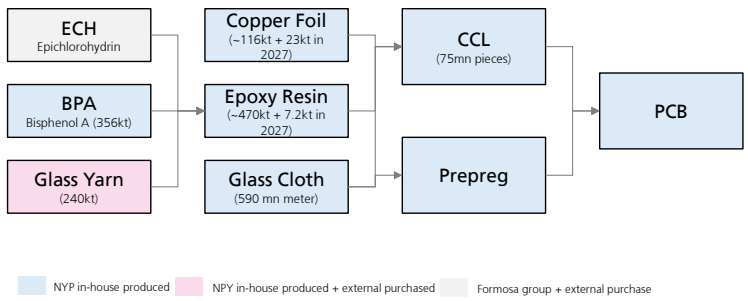
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NYP CCL: a vertically integrated traditional CCL leader; AI CCL ramping

Copper foil, epoxy resin and glass fibre are the three major materials for CCL, accounting for 42%, 26% and 19% of conventional CCL costs, respectively, according to Trendforce. As CCL migrates to higher end AI grades, we expect glass fibre and specialty resin to take a larger share of total BOM cost, mainly driven by higher value low-Dk glass and low-loss resin.

NYP has a highly vertically integrated CCL supply chain with in-house production spanning glass yarn, glass fibre, epoxy resin, copper foil, and CCL. We believe vertical integration differentiates NYP from other CCL companies given: **1) Provides supply security**: during periods of tight raw material supply, NYP can rely on internal key material capacity, thereby reducing procurement risk and supporting stable production. **2) Faster customer qualification**: with key upstream materials produced in-house, NYP can adjust formulations and specifications more quickly to meet customer-specific performance requirements during high-end CCL qualification. **3) Better cost control**: internal sourcing allows NYP to capture more value across the supply chain.

Figure 1: NYP's integrated CCL value chain and annual capacity



Source: Company data

AI bandwidth growth boosts high-end CCL demand

As AI chips become more powerful (Blackwell to NVIDIA's Rubin and Vera Rubin), the chips need to send more data at much faster speeds. The faster the data travels, the easier it is for the signal to weaken or lose quality. This means AI servers need better circuit board materials to keep data moving quickly and reliably. High-end CCL, such as M8 and M9, reduces this signal loss and therefore is becoming increasingly important as AI computing power and data speeds continue to rise.

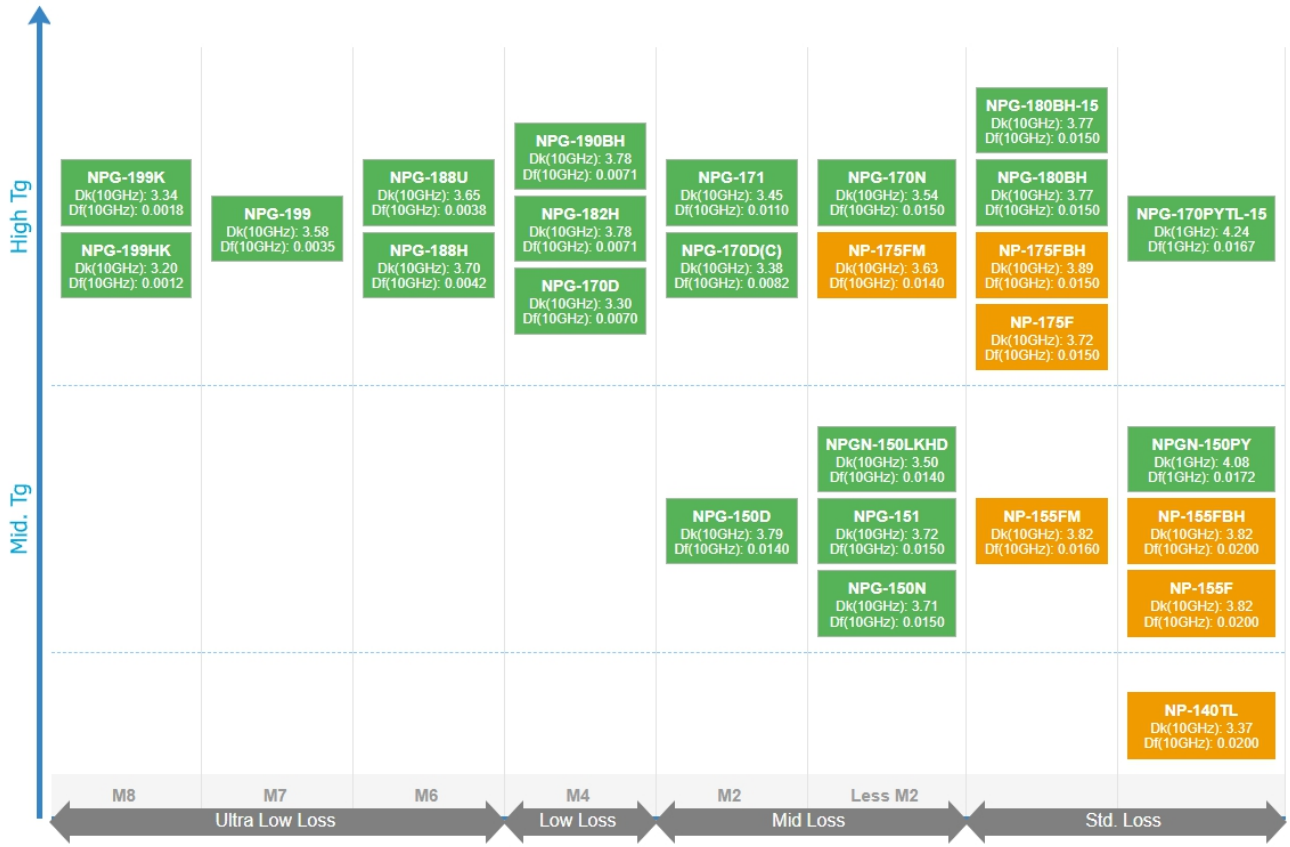
Figure 2: Classification of CCL and material upgrade roadmap

Market benchmark	CCL Category	Typical Dk (Panasonic)	Typical Df (Panasonic)	Key material upgrade Resin	 glass fiber cloth cloth cloth cloth cloth	 Copper Foil	Typical application
FR4	Conventional FR4	~4.0–4.5	~0.018–0.025	Epoxy	E-glass (electrical-grade)	Standard	Consumer electronics, automotive, industrial
M4	Low loss	3.7–3.8	0.007–0.0074 @10–13 GHz	Modified epoxy / low-loss thermoset	E-glass	Low-profile / reverse-treated copper foil	General server, router, telecom
M6	Very low loss	3.3–3.6	0.0037–0.0046 @13 GHz	PPE / PPO-based	Low-Dk Gen 1 glass	HVLP	High-end server
M7	Ultra-low loss	3.31	0.0023 @14 GHz	Mainly PPE / PPO-based	Low-Dk Gen 1–2 glass / T-glass	HVLP2	AI server, 400G/800G switch
M8	Extreme low loss	3.1–3.3	0.0012–0.0016 @14 GHz	Advanced PPE / PPO-based thermoset	Low-Dk Gen 2 / T-glass / ultra-low Df glass	HVLP3	Blackwell AI server, 800G networking
M9 - class	Next-gen. extreme low loss	~3.0–3.2	Target ≤0.0007–0.001 @10 GHz	PPO + hydrocarbon (higher hydrocarbon ratio)	Quartz (Q-glass) / advanced Low-Dk / T-glass variants	HVLP4 / HVLP5	Vera Rubin, 1.6T switch, midplane
M10 - class	Next-next-gen	~2.7–3.1 (indicative)	Target ~0.0004 or lower	Hydrocarbon + PTFE / hybrid ultra-low-loss	Q-glass / ultra-low-loss specialty glass / T-glass variants	HVLP5 / next-gen	Rubin Ultra

Source: Panasonic, Nittobo, industry research. Note: Indicative ASP indexed to conventional FR-4 = 1.0x. PPE: Polyphenylene; PPO: polyphenylene oxide; PTFE: polytetrafluoroethylene; HVLP: Hyper Very Low Profile; Dk: dielectric constant; Df: dissipation factor

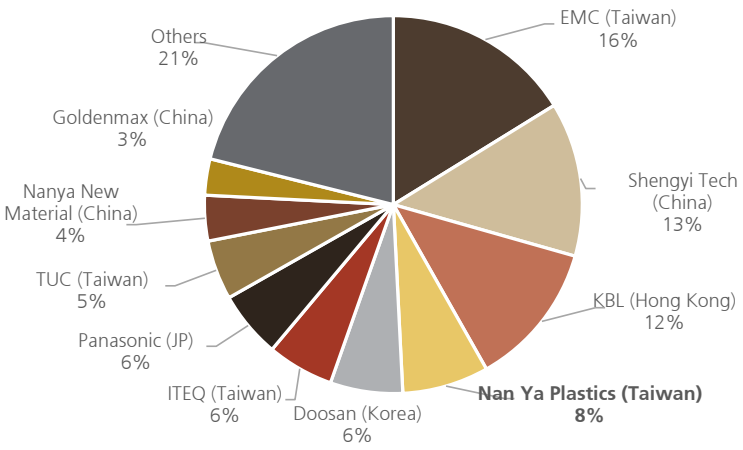
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Figure 3: NYP's CCL portfolio



Source: Company data. Note: Green signifies Halogen-free. Dk/Df measured at a Resin Content of 70%. As of 8 September 2026.

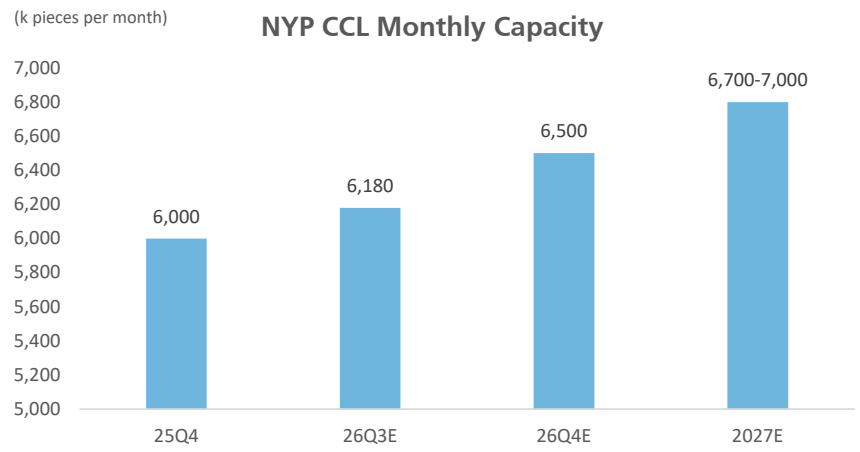
Figure 4: CCL market share by supplier (2025)



Source: Prismark

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Figure 5: NYP's monthly CCL capacity

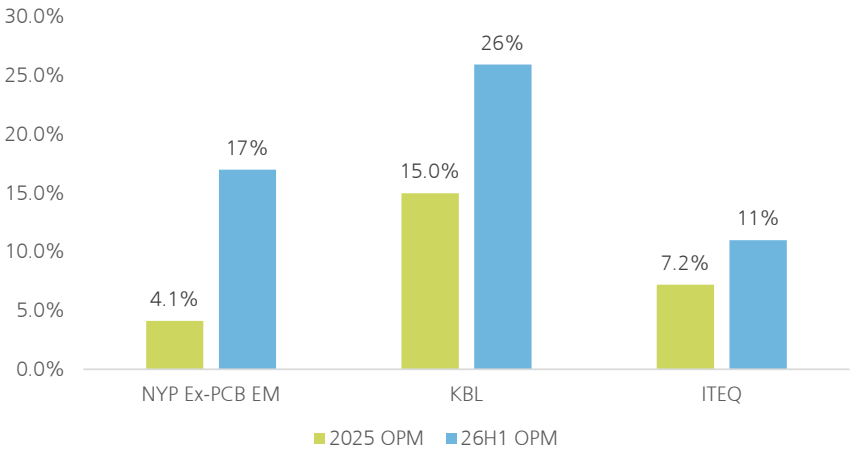


Source: Company data, UBS estimates

Vertical integration supports higher OPM

We compared CCL profitability with KBL (Kingboard Laminates, 1888.HK; covered by UBS analyst Edward Liu), NYP and ITEQ (ITEQ Corporation, 6213.TW; Not Covered) and note that vertical integration appears to support a higher margin. Fully integrated across the three key CCL upstream materials, KBL delivered a 26% OPM in H126, followed by 17% for NYP, and 11% for ITEQ which primarily sources upstream materials externally. While product mix differs across peers, we believe companies with vertical integrated supply chains are able to deliver better cost controls for raw materials and thus capture higher value across the supply chain, particularly as upstream prices rise.

Figure 6: Key CCL companies' OPM comparison



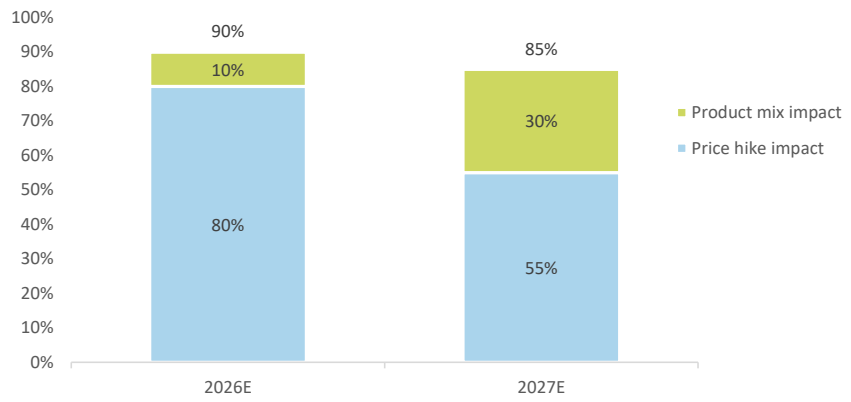
Source: Company data

We forecast CCL ASP growth at 90%/85% in 2026/27

We expect CCL ASP to rise 90%/85% YoY in 2026/27E, among which c80%/55% would be from supply-driven price hikes (as detailed in the UBS Tech team's sector report), and c10%/30% from product mix improvements with a higher AI CCL volume contribution.

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Figure 7: NYP CCL ASP forecasts



Source: UBS estimates

Supply-driven price upcycle to continue

Despite lukewarm consumer electronics demand, conventional CCL remains in a strong pricing upcycle. The company has said that prices for mid and low-end CCL continue to rise 5-10% per month, while certain grades are recording monthly increases of 10-15%. The current supply shortfall reflects a combination of the following:

1) Capacity migration to high-end AI materials. As industry companies increasingly prioritise AI-related products, a growing portion of CCL capacity is being reallocated from conventional grades. High-end materials also require significantly longer processing times and lower throughput, effectively reducing industry-wide supply of traditional CCL.

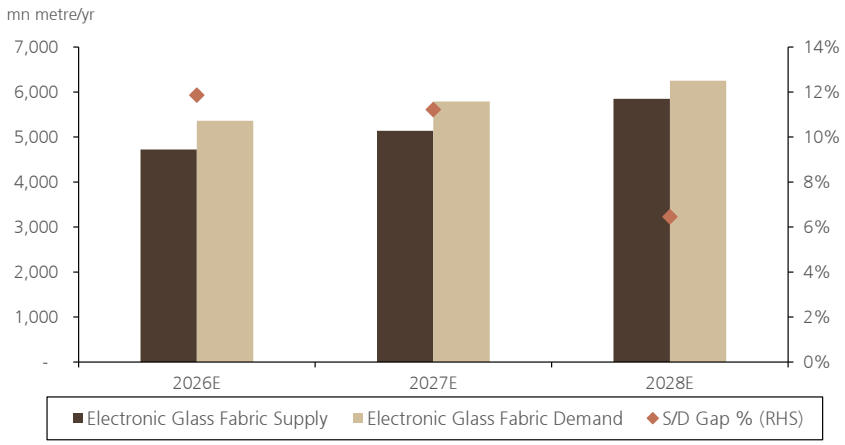
2) Rising material intensity and order spillover. Increasing PCB complexity, including higher layer counts in AI servers and networking equipment, is structurally raising CCL consumption per unit. Concurrently, leading high-end CCL suppliers are focusing on premium products, resulting in order spillover into the conventional CCL market and tightening supply further.

3) Persistent upstream bottlenecks. Tight key raw material supply, particularly for glass fibre cloth and copper foil, continues to constrain effective capacity additions. The limited availability of electronic grade glass cloth, long lead times for weaving equipment and emerging shortages in high-end copper foil have extended the supply crunch across the broader CCL value chain.

As the AI cycle continues, UBS's Tech team expects industry supply-demand conditions to remain tight, at least through 2027E as capacity expansion requires multiple years to materialise and is unlikely to keep pace with demand growth, in our view. As a result, we expect conventional CCL pricing to remain on an upward trajectory, supporting further margin expansion across the traditional CCL value chain.

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Figure 8: Industry electronic glass fabric (E-glass + speciality/AI) supply/demand forecasts



Source: UBS estimates

Supply-driven price hikes to drive 80%/55% ASP growth in 2026/27E

Conventional CCL pricing has entered a sharp supply-driven upcycle. According to TPCA, Kingboard's FR4 price hikes exceeded 50% cumulatively by July, while local media estimated YTD increases had exceeded 100% by end-August following further hikes. NYP also confirmed 100% YTD price hikes for a number of conventional CCL products. According to the Panasonic Industry Official Price Announcement, Panasonic announced three rounds of price increases for general glass-epoxy CCL in 2026 of 30%, 20% and 30%, equivalent to 103% on a compounded basis.

NYP management noted that the 26Q4 pricing upcycle remains intact, with CCL prices rising 5-10% monthly, while some grades have increased more than 100% cumulatively since 2025. KBL also confirmed that conventional CCL prices have more than doubled versus end-2025. KBL raised prices twice in April and accelerated monthly increases to 15% in June and July.

Historically, NYP's CCL ASP has moved in the same direction as KBL. Based on the UBS Tech team's sector view, we forecast CCL ASP price increases of 80%/55% in 2026/27, driven purely by pricing. We flag the announced industry price hikes of up to 100% are not immediately fully reflected in realised ASP, as implementation varies by customer and often requires contract renewal or price renegotiation.

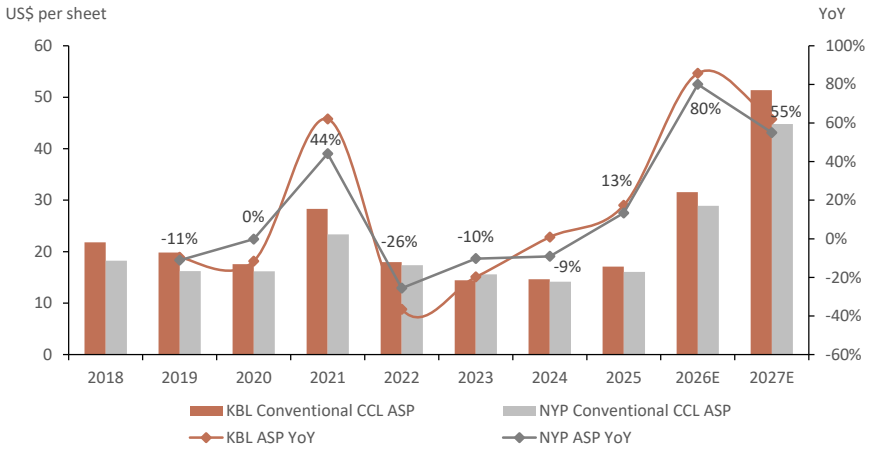
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Figure 9: Traditional CCL in a pricing upcycle amid tight E-glass supply and material cost inflation

Manufacturer	Announcement / report date	Effective date	Product	Price increase	Comments	Source
Nanya Plastics	2026-03-22	2026-03-16	CCL and related materials	**+15%**	Industry-circulated customer notice; driven by higher copper-foil processing fees and tight electronic glass-cloth supply.	Economic Daily News
Nanya Plastics	2026-08-15	2026-09-01	CCL and related materials	~**5–10%** estimated / customer-specific	A circulated letter suggested +20%, but the company did not confirm the 20% yet	Economic Daily News
Panasonic Industry	2026-04-09	2026-05-01	Conventional glass-epoxy CCL	**+30%**	First major 2026 revision; raw-material, energy and logistics costs increased.	Panasonic official
Panasonic Industry	2026-04-09	2026-05-01	Low-loss CCL	**+20%**	Applies to MEGTRON / XPEDION low-transmission-loss CCL.	Panasonic official
Panasonic Industry	2026-06-26	2026-08-01	Conventional glass-epoxy CCL	**+20%**	Second 2026 increase; Panasonic cited higher petrochemical raw-material and logistics costs.	Panasonic official
Panasonic Industry	2026-06-26	2026-08-01	Low-loss CCL	**+10%**	Second increase for MEGTRON / XPEDION.	Panasonic official
Panasonic Industry	2026-08-06	2026-09-01	Conventional glass-epoxy CCL	**+30%**	Third 2026 increase.	Panasonic official
Panasonic Industry	2026-08-06	2026-09-01	Low-loss CCL	**+15%**	Third increase for MEGTRON / XPEDION.	Panasonic official
Kingboard Laminates	2026-03-10	Immediate	CCL and related materials	**+10%**	First 2026 increase.	21st Century Business Herald
Kingboard Laminates	2026-04-03	Immediate	CCL and related materials	**+10%**	Second 2026 increase.	21st Century Business Herald
Kingboard Laminates	2026-04-28	Immediate	FR-4 CCL and related materials	**+10%**	Third increase.	21st Century Business Herald
Kingboard Laminates	2026-05-27	Immediate	CCL and related materials	CCL **+10%**; related materials **+20%**	Fourth increase.	21st Century Business Herald
Kingboard Laminates	2026-06-16	Immediate	FR-4 CCL and related materials	**+15%**	Fifth increase.	21st Century Business Herald
Kingboard Laminates	2026-07-06	Immediate	FR-4 CCL ≥1.3 mm and related	CCL **+15%**	CEM-1 / 22F rose 10%; related materials also increased.	21st Century Business Herald
Kingboard Laminates	2026-08-28	Immediate	All FR-4 CCL and related materials	CCL **+10%**; related materials **+10–20%**	Seventh 2026 hike; cumulative FR-4 CCL increase reportedly exceeded 100%.	21st Century Business Herald

Source: *Economic Daily News*, Panasonic website, *21st Century Business Herald*, news reports

Figure 10: ASP of conventional CCL for KBL and NYP



Source: Company data, UBS estimates

EMC anticipates undersupply to continue in the next two years

At the UBS Taiwan Summit, EMC (2383.TW, Not Covered) anticipated further price hikes in H226 based on rising component costs, but that the magnitude of the increase would likely be less than in H126. Management noted equipment lead time currently is one to two years and that high-end CCL demand has not slowed. It thus anticipates undersupply to continue in the next two years.

High-end CCL: next-gen AI rack architecture to lift CCL content and ASP

High-end AI CCL is mainly used in AI server compute boards, switch boards and midplane/backplanes, where higher data transmission speeds require low-loss laminate materials. Using NVIDIA as an example as its rack architecture is increasingly PCB/CCL intensive, the current VR200 system is built on an Oberon NVL72 rack design, while

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future generations could adopt the Kyber rack, which would increase the NVLink domain per rack to 144 or above GPU.

Compared with current Oberon architecture, Kyber should increase CCL content per rack as it supports twice or above GPUs and relies on increasingly complex, high layer count PCB interconnects. This should drive both higher CCL volume and a richer mix of advanced low-loss materials, supporting higher CCL value per rack. High-end CCL share matters disproportionately for revenue because M8+ ASP can be several times higher than conventional FR4.

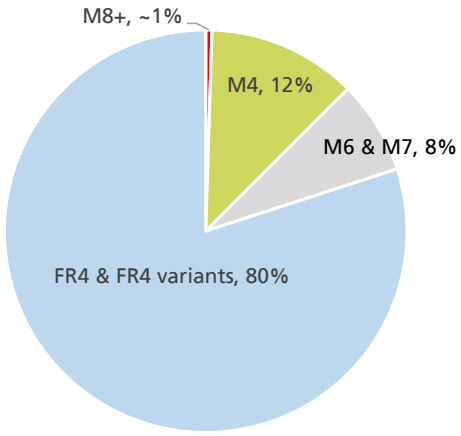
While our base case assumes continued adoption of higher-end AI CCL, supply-chain feedback suggests Nvidia's Kyber rack architecture may be delayed beyond Rubin Ultra, potentially extending the use of the current Oberon platform through much of 2028. This could defer part of the expected AI-related materials upgrade cycle. However, we see a potential offset from ASIC programs, with Google TPU v9 and Amazon Trainium 4 expected to transition from 2-die to 4-die architectures from late 2027. The resulting increase in bandwidth requirements and system complexity could support incremental demand for PCB/CCL materials, partially mitigating the impact of a slower Kyber transition.

AI CCL product mix upgrade to drive 10%/30% ASP expansion in 2026/27E

We expect M6+ CCL volume to increase from 0% in 2025 to 2% in 2026E and 5% in 2027E. We think this would be supported by: 1) NYP starting M7/8 CCL shipments, while M9/10 are undergoing customer qualification, according to a news report; 2) the company is ramping up capacity to meet increasing demand (Figure 5); and 3) improving low-Dk glass supply through its partnership with Nittobo.

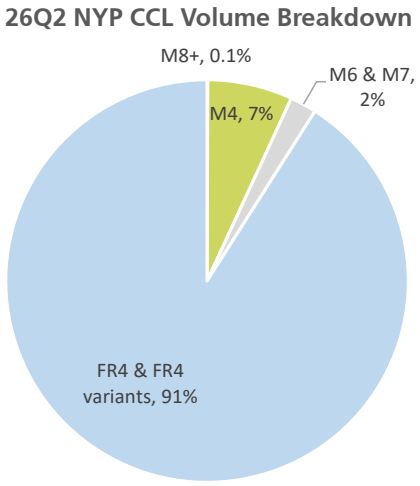
We model M6&M6+ ASP at 3-10x higher than conventional FR4; we forecast the expansion in high-end CCL volume would result in a 10% and 30% YoY increases in blended ASP.

Figure 11: NYP's Q226 CCL revenue breakdown



Source: Company data

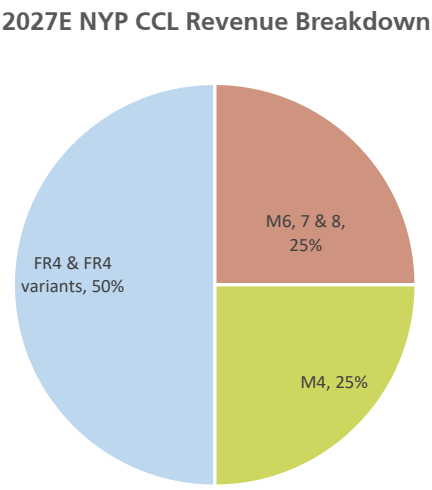
Figure 12: NYP's Q226 CCL volume breakdown



Source: UBS estimates

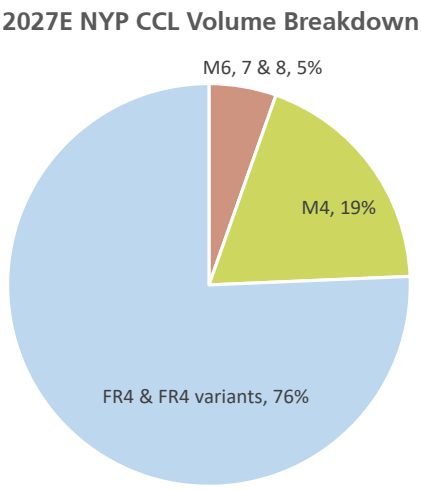
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Figure 13: NYP's 2027E CCL revenue breakdown



Source: UBS estimates

Figure 14: NYP's 2027E CCL volume breakdown



Source: UBS estimates

Partnership with Nittobo to strengthen NYP's position in high-end AI CCL

Nittobo is a leading supplier of specialty electronic glass fibre cloth for advanced AI and high-speed applications. According to TrendForce, it holds approximately 90% of the global T-glass market and 60-70% of the next-generation low-Dk glass market, while Nittobo describes its NE-glass (low dielectric specialty glass) as the de facto standard for low-Dk applications.

In November 2025, Nittobo and NYP announced a strategic partnership under which Nittobo will provide NYP with a long term and stable supply of next-gen low-Dk glass yarn (the upstream material for glass cloth), while NYP will provide specialty glass cloth weaving capacity by utilising the company's 4,000 weaving machine capacity.

We expect the partnership to accelerate NYP's move into high-end AI CCL, as it secures access to a scare upstream material, reduces supply bottleneck risk, and should improve the company's ability to develop and qualify higher end low-loss CCL products.

Figure 15: NYP's partnership with Nittobo in AI-specialty glass fibre cloth for CCL

Summary	Official Disclosure
Announcement Date	Nov. 2025
Partnership	NYP and Nittobo announced strategic cooperation on specialty glass fiber cloth to address fast-growing AI-related demand
What Nittobo offers	Nittobo will provide NYP with long-term, stable supply of second generation low Dk glass yarn
What NYP offers	NYP will provide specialty glass-fiber weaving / manufacturing capacity to Nittobo
2027 Target	By 2027, ~20% of Nittobo's specialty glass fiber cloth supplied to the market is expected to be woven with NYP's assistance.

Source: Company data

We expect CCL OPM to rise to 23%/30% in 2026/27E

Historically, a US$1.00 per piece increase in CCL ASP results in a US$0.23/0.43 rise in CCL operating profit per piece. Based on this, we estimate that a US$1.00 ASP increase would translate to a US$0.45 per piece incremental OP in 2026E, as price hikes and operating leverage allow a larger portion of ASP gains to translate to profit. We expect

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flow through to moderate in 2027E at $0.37, as ASP growth is increasingly driven by higher end CCL products, which have a lower scale compared to conventional products and higher raw material costs.

Figure 16: Sensitivity of CCL OPM to ASP increase

	2024	2025	1H26E	2026E	2027E
NYP CCL Blended ASP	14.2	16.1	24.1	30.5	56.5
ASP increase vs. previous FY		1.9	8.0	14.5	25.9
Unit OP ($/piece)	0.2	0.7	4.1	7.2	16.8
Increase in OP per CCL ($/piece)		0.4	3.4	6.5	9.6
OP increase per US$1 ASP increase		0.23	0.43	0.45	0.37
OPM %	1.6%	4.1%	17%	23%	30%

Source: Company data, UBS estimates

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WHAT´S PRICED IN?

NT$ mn	UBSe	VA Cons.	vs. Cons.
26Q3			
Revenue	96,009	89,603	7%
EBIT excl. invt income	15,996	13,335	20%
Investment Income (incl. 29% of NYT)	25,000	22,574	11%
Net Profit	35,962	29,763	21%
2026E			
Revenue	355,547	330,806	7%
EBIT excl. invt income	48,552	40,120	21%
Investment Income (incl. 29% of NYT)	88,998	80,761	10%
Net Profit	108,755	94,342	15%
2027E			
Revenue	474,311	397,922	19%
EBIT excl. invt income	83,230	63,838	30%
Investment Income (incl. 29% of NYT)	124,084	100,835	23%
Net Profit	158,805	128,918	23%

Source: Bloomberg, UBS estimates, Visible Alpha

Comparison with consensus. Our 2026E/27 net profit forecasts are 15%/23% above consensus. This is primarily driven by our EBIT estimates, which are 21%/30% above consensus as we expect 90%/85% increases in CCL ASP in 2026/27E to significantly expand OP margins. As a result, we expect the company's CCL OPM to rise from c4% in 2025 to 23%/30% in 2026/27E, underpinned by higher ASP and the company's cost control capabilities within its vertically integrated supply chain.

In addition, our 2026E/27 investment income forecasts are 10%/23% higher than consensus, largely reflecting higher equity income contributions from Nanya Technology (NYT, 2408.TW, Buy, covered by UBS analyst Nicolas Gaudois), in which the company holds a 29% stake.

Comparison with historical valuation. The stock is currently trading at 14x P/E based on 12-month forward consensus estimates, 1SD below its five-year historical average PE. It trades at 3.9x P/BV on 12-month forward consensus estimates, supported by a 21% 12-month forward ROE. Both P/BV and ROE are at five-year historical highs.

NYP owns a 61% equity stake in NYPCB (8046.TW), a 29% stake in NYT (2408.TW), 23% of FPCC (Formosa Petrochemical Corporation, 6505.TW), 4.6% of FPC (Formosa Plastics Corporation, 1301.TW) and 2.4% of FCFC (Formosa Chemicals & Fibre Corporation, 1326.TW). Excluding the market value of these listed companies and assuming a stable holdco discount over time, we view the residual value as representing NYP's core operations (CCL and the upstream business, as well as the company's petchem business). NYP's implied core business currently accounts for 33% of its market cap, approximately 1SD above its historical average. However, we estimate CCL and petrochemicals will contribute c30% of earnings in 2027E and c50% by 2030E. We believe the market is undervaluing NYP's core business, as concerns on its petchem segment are overshadow the company's transition toward faster-growing, higher-value CCL earnings.

Comparison with sector peers. NYP trades at 12x 2027E PE and 3.6x 2027E P/BV on our estimates, compared to 36x 2027E PE and 8.2x P/BV for its EM peers. We believe the market undervalues the company's expanding CCL business due to excessive concerns about the legacy petchem business that could weigh on margins. We expect continued geopolitical volatility to support MEG-ethylene spreads and to preserve petchem profitability from 2026 to H127E.

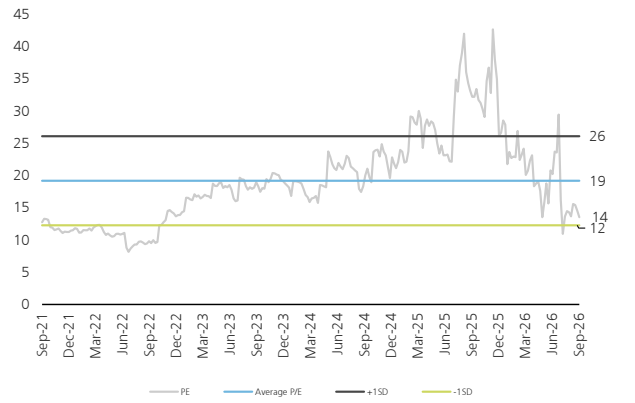
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Figure 18: NYP peers comparison

	Rating	Price Target	Curr. price	Mkt cap US$bn	P/E 2026E	P/E 2027E	P/E 2028E	P/B 2026E	P/B 2027E	P/B 2028E	ROE 2026E	ROE 2027E	ROE 2028E	EV/EBITDA 2026E	EV/EBITDA 2027E	EV/EBITDA 2028E
NYP	Buy	300	228	56.8	18x	12x	11x	4.1x	3.6x	3.0x	26%	31%	31%	23x	16x	12x
Nanya Tech	Buy	640	515	55.9	7x	4x	4x	3.4x	2.2x	1.5x	78%	62%	45%	4x	3x	2x
NYPCB	Neutral	1,150	1,210	24.6	77x	34x	27x	14.5x	10.9x	8.7x	20%	36%	36%	44x	23x	18x
Petchem Peers																
FORMOSA PETRO/d	Not Rated		87	26.4	16x	22x	14x	1.7x	1.7x	1.8x	12%	9%	14%	8x	11x	9x
FORMOSA PLASTI/d	Not Rated		63	12.6	19x	26x	16x	1.1x	1.1x	1.1x	4%	3%	7%	16x	17x	36x
FORMOSA CHEM F/d	Not Rated		65	12.0	18x	23x	8x	0.9x	0.9x	0.9x	4%	4%	11%	13x	13x	15x
Lotte	Neutral	95,000	60,200	1.9	-10x	-11x	-17x	0.2x	0.2x	0.2x	(2%)	(2%)	(1%)	9x	9x	8x
LG Chem	Buy	540,000	252,500	13.0	40x	7x	4x	0.5x	0.5x	0.4x	1%	7%	13%	7x	5x	4x
Siam Cement	Neutral	232	269	9.7	51x	33x	17x	1.0x	0.9x	0.9x	2%	3%	6%	12x	11x	9x
Zhejiang Satellite	Buy	38	27	13.5	#N/A	#N/A	#N/A	2.2x	1.9x	1.6x	28%	24%	22%	6x	6x	5x
Hengli	Buy	28	17	17.7	10x	10x	9x	1.6x	1.4x	1.3x	16%	16%	16%	9x	7x	6x
Average					**20x**	**16x**	**8x**	**1.1x**	**1.0x**	**1.0x**	**8%**	**7%**	**10%**	**9.6x**	**9.6x**	**10.9x**
Electronic Materials Peers																
CCL Peers																
EMC	Not Rated		5,020	56.5	44x	22x	14x	22.6x	14.1x	10.0x	64%	86%	70%	28x	15x	9x
ITEQ Corp	Not Rated		541	6.2	38x	20x	19x	7.8x	6.3x	5.4x	21%	34%	34%	17x	11x	9x
TUC	Not Rated		1,460	14.0	39x	19x	10x	15.6x	9.7x	6.9x	46%	62%	70%	24x	12x	7x
KBL	Buy	66	52	20.6	18x	12x	9x	7.2x	5.5x	4.4x	47%	54%	52%	13x	9x	7x
Shengyi Technology	Buy	192	144	52.0	45x	30x	21x	16.3x	12.8x	10.0x	41%	48%	53%	33x	22x	16x
Average					**37x**	**20x**	**15x**	**13.9x**	**9.7x**	**7.3x**	**44%**	**57%**	**56%**	**23x**	**14x**	**10x**
Glass Fiber Peers																
China Jushi	Buy	58	46	27.2	22x	12x	9x	4.8x	3.7x	2.9x	24%	35%	36%	15x	9x	6x
SINOMA SCIENCE/d	Not Rated		61	15.0	32x	21x	15x	4.7x	4.1x	3.5x	13%	16%	18%	13x	10x	NULL
FEILIHUA ORD A/d	Not Rated		98	7.7	64x	41x	28x	9.3x	7.9x	6.6x	14%	17%	20%	37x	28x	NULL
GRACE TECH/d	Not Rated		157	21.3	129x	74x	38x	43.0x	27.3x	17.4x	49%	51%	51%	71x	43x	27x
ASAHI KASEI/d	Buy	2,300	1,600	13.8	11x	11x	11x	0.8x	1.0x	0.9x	9%	9%	9%	7x	7x	6x
NITTOBO/d	Not Rated		3,080	3.7	15x	27x	21x	3.5x	2.9x	2.7x	26%	12%	14%	24x	15x	12x
Average					**45x**	**31x**	**20x**	**11.0x**	**7.8x**	**5.7x**	**23%**	**23%**	**25%**	**28x**	**18x**	**13x**
Copper Foil Peers																
Nuode	Neutral	10.0	12.5	3.2	70x	52x	37x	3.6x	3.4x	3.2x	5%	7%	9%	25x	22x	18x
CO-TECH/d	Not Rated		497	4.0	49x	21x	13x	13.1x	9.8x	6.7x	28%	43%	51%	39x	17x	11x
TONGGUAN COPPE/d	Not Rated		119	14.5	177x	92x	56x	8.3x	7.8x	7.1x	8%	12%	16%	98x	46x	26x
Average					**99x**	**55x**	**35x**	**8.4x**	**7.0x**	**5.7x**	**14%**	**21%**	**25%**	**54x**	**28x**	**18x**
Electronic Materials Avg.					**60x**	**36x**	**23x**	**11.1x**	**8.2x**	**6.2x**	**27%**	**34%**	**35%**	**35x**	**20x**	**14x**

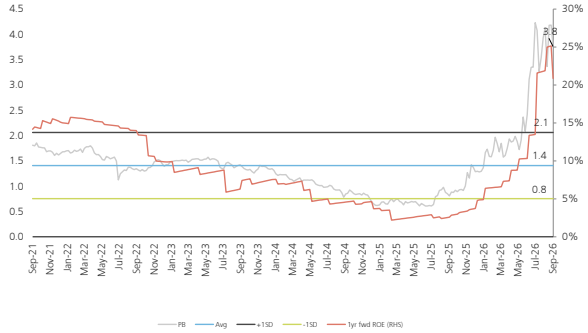
Source: Refinitiv, UBS estimates. Note: Priced as of 24 September 2026

Figure 19: NYP five-year historical PE band



Source: Refinitiv

Figure 20: NYP five-year P/BV vs. ROE



Source: Refinitiv

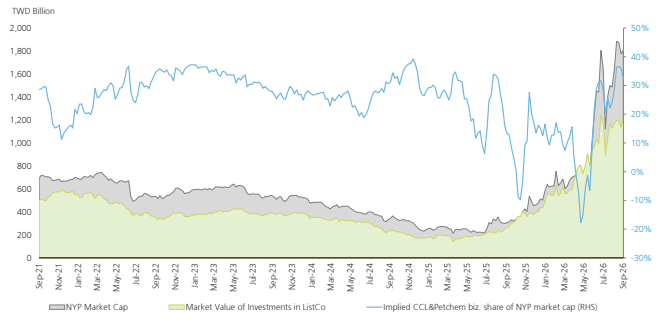
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Figure 21: NYP's direct holding companies

Nanya Plastics (NYP 1303.TW)		
Consolidated	**Equity Method**	**Dividend / FVOCI**
Nanya PCB Corporation (NYPCB 8046.TW) 60.97%	**Formosa Petrochemical Corporation (FPCC 6505.TW) 23.11%**	**Formosa Plastics Corporation (FPC 1301.TW) 4.63%**
Nan Ya Plastics Corporation America 100.00%	**Nanya Technology (NYT 2408.TW) 29.28% (28.28% pro-forma after approved disposal)**	**Formosa Chemicals & Fibre Corporation (FCFC 1326.TW) 2.40%**
Nan Ya Plastics (Hong Kong) Co., Ltd. 100.00%	Mai-Liao Power Corporation 24.94%	Formosa Group Ocean Marine Investment Corporation 19.00%
Nan Ya Plastics Corporation U.S.A. 100.00%	Formosa Heavy Industries Corporation 32.91%	Other financial investments, etc. (Formosa Plastics Corp. U.S.A., Formosa Plastics Maritime, Formosa International Development, Mailiao Harbor Administration, etc.)
PFG Fiber Glass Corporation 100.00%	Formosa Resources Corporation 25.00%	
Nan Chung Petrochemical Corporation 50.00% I Consolidated by control	Formosa Smart Energy Tech Corporation 25.00%	
Other consolidated subsidiaries, etc. (Wen Fang Industrial, PFG Fiber Glass (Hong Kong), Superior World Wide Trading, etc.)	Other equity-method investments, etc. (Formosa Automobile, Nanya Photonics, Formosa Environmental Technology, Formosa Construction, etc.)	

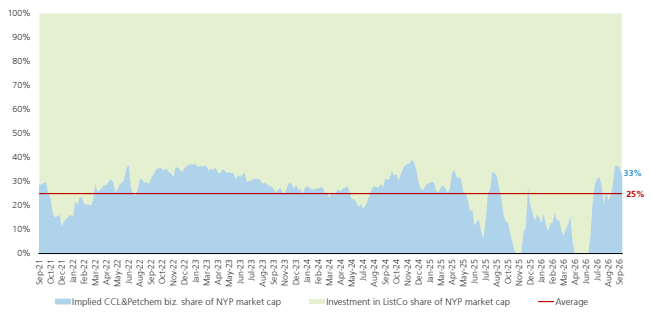
Source: Company data. Note: Nanya Technology: 29.28% at year-end 2025; 28.28% is pro forma if the approved 2026 disposal is fully completed. Nanya PCB: 60.97% after the completed March-May 2026 disposal

Figure 22: NYP market cap vs. market value of investments in ListCos



Source: Refinitiv.. Note: Investments in ListCos include 61% equity stake in NYPCB, 29% in NYT, 23% in FPCC, 4.6% in FPC and 2.4% in FCFC (1326.TW)

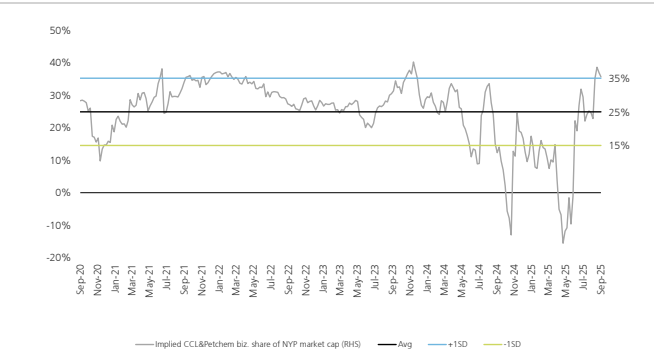
Figure 23: Implied contribution of core CCL & petchem businesses to NYP's market cap



Source: Refinitiv

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Figure 24: Implied CCL & petchem share of NYP's market cap



Source: Refinitiv

Valuation: CCL business to drive valuation upside

We value Nan Ya Plastics using a SOTP valuation methodology.

Core business. For the company's PCB business, we use the UBS price target of NT $1,150 (covered by UBS analyst Diana Chang). For non-PCB EM, we value the business at 19x 2027E EV/EBITDA, a discount to industry CCL upstream peers, reflecting lower scarcity and pricing power than upstream bottleneck materials, but higher than CCL companies, supported by more vertical integration and value capture than pure CCL producers as well as a commitment to shareholder returns via dividend payments (not less than a 50% payout ratio). For the company's core chemicals, plastics and polyester businesses, we assign 10x 2027E EV/EBITDA, in line with Asia petchem peers.

Investments. For the company's investments in FPCC, FPC, FCFC, NYT, Mai Liao Power and others, we assume UBS price targets and market values where relevant for the listed holdings, or we assume peer valuation multiples.

HoldCo discount. We apply a relatively modest 10% HoldCo discount to NYP, given their transparent market values, visible dividend policies and consistent cash distributions. NYP has demonstrated an ability and willingness to monetise the holdings. In 2026, NYP sold a 19.4m equity stake in NYPCB for NT$13.4bn and also approved the disposal of 31m NYT shares, demonstrating that these stakes are monetisable. Regular dividends from the listed companies also allow NYP to realise part of their underlying value without requiring outright disposal. Our sensitivity applies a 5-30% HoldCo discount with 10% as our base case.

Our SOTP-derived PT of NT$300.00 implies 15x 2027E PE, 0.3x 27E PEG and a 4.4x P/BV. We assume coverage of NYP with a Buy rating.

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Figure 25: NYP's valuation

Business segments / holdings	Nan Ya Plastics ownership	EV/EBITDA	EBITDA	Value (NT$ mn)	Value per share (NT$)	Comment
EM excl.NYPCB: CCL + upstream materials	100%	19.0x	69,174	1,314,306	166	27E EM peers EV/EBITDA; EBITDA excl. NYPCB
EM: NYPCB (UBS PT NT$1150/sh)	61%			743,091	94	At UBS price target (NT$1150/sh)
Plastics (PVC processing)	100%	10.0x	5,528	55,284	7	27E Petchem Peers EV/EBITDA
Chemicals (MEG, DOP, 2-EH)	100%	10.0x	4,251	42,515	5	27E Petchem Peers EV/EBITDA
Polyester	100%	10.0x	1,637	16,375	2	27E Petchem Peers EV/EBITDA
Others	100%	10.0x	2,820	28,202	4	27E Petchem Peers EV/EBITDA
Core Enterprise value				**2,199,772**	**277**	
FPCC	23%			191,967	24	Price as of 23 Sept
FPC	4.4%			19,747	2	Price as of 23 Sept
FCFC	2.4%			9,007	1	Price as of 23 Sept
Nan Ya Tech	29%			646,502	82	At UBS price target (NT$640/sh)
Mai Liao Power	25%			1,018	0	At book value (25A)
Other investment income				1,018	0	Assumes 10x PE (27E)
Minority interests				-290,028	-37	39% of NYPCB
Net Debt				-137,801	-17	27E BS
Equity value				2,641,202	**333**	
Share outstanding				7,931		
Equity value (NT$/sh)				333		
Holdco discount - basecase				10%		
Price target (NT$/sh)				**300**		
Holdco discount - upside case				5%		
PT - upside case (NT$/share)				**316**		
Holdco discount - downside case				30%		
PT - downside case (NT$/share)				**233**		

Source: Company data, UBS estimates. Note: Priced as of 23 September 2026

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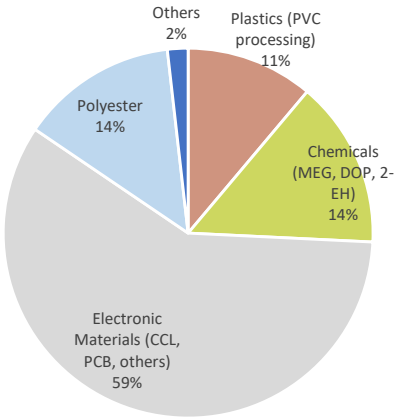
COMPANY DESCRIPTION

Established in 1958 and listed on the TAIEX in 1967, Nan Ya Plastics one of the core companies of Taiwan's Formosa Group. Its businesses span electronic materials, chemicals, plastics processing and polyester. NYP is one of the largest copper clad laminates (CCL) producers, with a vertically integrated CCL value chain, supplying CCL to its 61%-owned subsidiary Nan Ya PCB and other printed circuit board (PCB) makers. It owns 29% of Nan Ya Tech, the only Taiwan-based dynamic random access memory (DRAM) brand. It also owns 23% of Formosa Petrochemical.

Industry Outlook

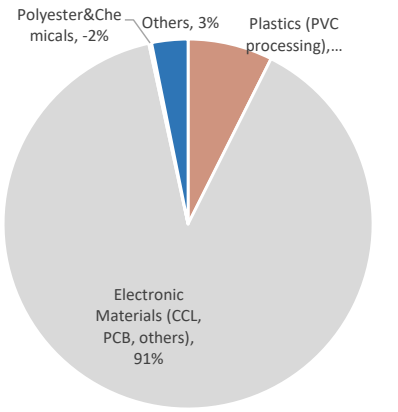
The traditional FR4-alike CCL industry is in a supply-driven upcycle with further pricing upside as AI continues to crowd out conventional capacity, while high-end CCL is entering a multi-year AI-driven growth cycle, led by specification upgrades and increasing penetration of servers and networking. 2026 feedstock disruptions amid geopolitical tensions have caused some temporary tightening, but the medium-term outlook remains weak unless capacity rationalisation accelerates or end-demand improves.

Revenue by product segment (2026E)



Source: Company data, UBS estimates

EBIT by product segment (2026E)



Source: Company data, UBS estimates

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Nan Ya Plastics (1303.TW)

Income Statement (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Revenues	**259,755**	**259,608**	**259,912**	**355,547**	*36.8*	**474,311**	*33.4*	**543,114**	**562,051**	**567,520**
Gross profit	19,226	18,574	21,599	68,237	*215.9*	103,899	*52.3*	129,539	115,703	110,676
EBITDA (UBS)	**25,428**	**23,149**	**26,221**	**71,603**	*173.1*	**106,891**	*49.3*	**132,483**	**119,531**	**115,587**
Depreciation & amortisation	(23,444)	(22,702)	(22,518)	(23,051)	*-2.4*	(23,661)	*-2.6*	(24,233)	(24,691)	(25,148)
EBIT (UBS)	**1,984**	**448**	**3,704**	**48,552**	*NM*	**83,230**	*71.4*	**108,250**	**94,840**	**90,438**
Associates & investment income	5,785	2,192	4,159	88,998	*NM*	124,084	*39.4*	132,435	48,287	18,710
Other non-operating income	2,631	3,946	1,053	4,804	*356.4*	1,000	*-79.2*	1,000	1,000	1,000
Net interest	(1,270)	(2,063)	(2,456)	(2,404)	*2.1*	(2,131)	*11.4*	(3,540)	(3,501)	(2,338)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**9,130**	**4,523**	**6,459**	**139,950**	*NM*	**206,183**	*47.3*	**238,144**	**140,626**	**107,810**
Tax	(1,020)	(1,216)	(1,393)	(27,990)	*NM*	(41,237)	*-47.3*	(47,629)	(28,125)	(21,562)
Profit after tax	**8,110**	**3,307**	**5,066**	**111,960**	*NM*	**164,946**	*47.3*	**190,515**	**112,500**	**86,248**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(1,800)	33	(547)	(3,205)	*NM*	(6,141)	*-91.6*	(8,798)	(10,012)	(11,239)
Extraordinary items	0	0	0	0	-	0	-	0	0	0
Net earnings (local GAAP)	**6,310**	**3,340**	**4,519**	**108,755**	*NM*	**158,805**	*46.0*	**181,717**	**102,489**	**75,009**
Net earnings (UBS)	**6,310**	**3,340**	**4,519**	**108,755**	*NM*	**158,805**	*46.0*	**181,717**	**102,489**	**75,009**
Tax rate (%)	11.2	26.9	21.6	20.0	*-7.3*	20.0	*0.0*	20.0	20.0	20.0

Per Share (NT$)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
EPS (UBS, diluted)	0.80	0.42	0.57	13.71	*NM*	20.02	*46.0*	22.91	12.92	9.46
EPS (local GAAP, diluted)	0.80	0.42	0.57	13.71	*NM*	20.02	*46.0*	22.91	12.92	9.46
EPS (UBS, basic)	0.80	0.42	0.57	13.71	*NM*	20.02	*46.0*	22.91	12.92	9.46
DPS (net) (NT$)	0.70	0.70	0.80	10.54	*NM*	9.90	*-6.0*	9.18	7.07	6.34
Cash EPS (UBS, diluted) [1]	3.75	3.28	3.41	16.62	*387.5*	23.01	*38.4*	25.97	16.04	12.63
Book value per share	45.41	43.70	44.85	57.76	*28.8*	67.24	*16.4*	80.25	83.99	86.38
Average shares (diluted)	7,931	7,931	7,931	7,931	*0.0*	7,931	*0.0*	7,931	7,931	7,931

Balance Sheet (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Cash and equivalents	114,282	82,699	64,124	71,086	*10.9*	35,177	*-50.5*	36,166	65,804	100,381
Other current assets	100,857	102,802	113,712	138,473	*21.8*	176,581	*27.5*	197,582	207,876	211,072
Total current assets	**215,139**	**185,502**	**177,836**	**209,559**	*17.8*	**211,758**	*1.0*	**233,748**	**273,681**	**311,453**
Net tangible fixed assets	216,213	218,273	206,478	197,426	*-4.4*	189,765	*-3.9*	180,531	167,841	154,692
Net intangible fixed assets	1,532	1,335	1,137	1,137	*0.0*	1,137	*0.0*	1,137	1,137	1,137
Investments / other assets	215,643	212,365	225,149	311,912	*38.5*	403,663	*29.4*	505,438	519,833	525,999
Total assets	**648,528**	**617,473**	**610,598**	**720,034**	*17.9*	**806,323**	*12.0*	**920,854**	**962,491**	**993,281**
Trade payables & other ST liabilities	43,101	43,178	41,059	44,879	*9.3*	49,809	*11.0*	52,370	54,315	54,937
Short term debt	84,107	97,493	93,641	93,641	*0.0*	93,641	*0.0*	93,641	93,641	93,641
Total current liabilities	**127,208**	**140,671**	**134,700**	**138,520**	*2.8*	**143,451**	*3.6*	**146,011**	**147,956**	**148,579**
Long term debt	106,351	83,150	79,337	79,337	*0.0*	79,337	*0.0*	79,337	79,337	79,337
Other long term liabilities	37,885	31,049	24,762	24,762	*0.0*	24,762	*0.0*	24,762	24,762	24,762
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**271,444**	**254,870**	**238,800**	**242,619**	*1.6*	**247,550**	*2.0*	**250,111**	**252,055**	**252,678**
Common s/h equity	**360,144**	**346,583**	**355,666**	**458,076**	*28.8*	**533,293**	*16.4*	**636,465**	**666,147**	**685,074**
Minority interests	16,940	16,020	16,133	19,339	*19.9*	25,480	*31.8*	34,278	44,290	55,529
Total liabilities & equity	**648,528**	**617,473**	**610,598**	**720,034**	*17.9*	**806,323**	*12.0*	**920,854**	**962,491**	**993,281**

Cash Flow (NT$m)	12/23	12/24	12/25	12/26E	%ch	12/27E	%ch	12/28E	12/29E	12/30E
Net income (before pref divs)	6,310	3,340	4,519	108,755	*NM*	158,805	*46.0*	181,717	102,489	75,009
Depreciation & amortisation	23,444	22,702	22,518	23,051	*2.4*	23,661	*2.6*	24,233	24,691	25,148
Net change in working capital	4,270	(5,269)	(13,229)	(20,942)	*-58.3*	(33,177)	*-58.4*	(18,440)	(8,350)	(2,573)
Other operating	1,653	(1,987)	(5,158)	(83,558)	*NM*	(85,610)	*-2.5*	(92,977)	(4,383)	5,074
Operating cash flow	**35,678**	**18,786**	**8,649**	**27,306**	*215.7*	**63,679**	*133.2*	**94,534**	**114,446**	**102,658**
Tangible capital expenditure	(23,958)	(12,640)	(11,329)	(14,000)	*-23.6*	(16,000)	*-14.3*	(15,000)	(12,000)	(12,000)
Intangible capital expenditure	0	0	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	0	0	0	0	-	0	-	0	0	0
Other investing	(7,450)	(5,260)	(3)	0	-	0	-	0	0	0
Investing cash flow	**(31,408)**	**(17,900)**	**(11,332)**	**(14,000)**	*-23.5*	**(16,000)**	*-14.3*	**(15,000)**	**(12,000)**	**(12,000)**
Equity dividends paid	(23,833)	(5,615)	(5,562)	(6,345)	*-14.1*	(83,588)	*NM*	(78,545)	(72,808)	(56,082)
Share issues / (buybacks)	0	0	0	0	-	0	-	0	0	0
Other financing	(4,184)	(4,681)	(3,525)	0	-	0	-	0	0	0
Change in debt & pref shares	16,087	(9,815)	(7,664)	0	-	0	-	0	0	0
Financing cash flow	**(11,930)**	**(20,112)**	**(16,751)**	**(6,345)**	*62.1*	**(83,588)**	*NM*	**(78,545)**	**(72,808)**	**(56,082)**
Cash flow inc/(dec) in cash	**(7,660)**	**(19,226)**	**(19,434)**	**6,962**	-	**(35,909)**	-	**989**	**29,638**	**34,576**
FX / non cash items	(4,559)	(12,356)	859	0	*-100.0*	0	*84.6*	0	0	0
Balance sheet inc/(dec) in cash	**(12,220)**	**(31,583)**	**(18,575)**	**6,962**	-	**(35,909)**	-	**989**	**29,638**	**34,576**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Nan Ya Plastics (1303.TW)

Valuation (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
P/E (local GAAP, diluted)	NM	NM	66.2	17.4	11.9	10.4	18.4	25.2
P/E (UBS, diluted)	90.2	NM	66.2	17.4	11.9	10.4	18.4	25.2
P/CEPS	19.1	15.1	11.1	14.3	10.3	9.2	14.8	18.8
Equity FCF (UBS) yield %	2.1	1.6	(0.9)	0.7	2.5	4.2	5.4	4.8
Dividend yield (net) %	1.0	1.4	2.1	4.4	4.2	3.9	3.0	2.7
P/BV	1.6	1.1	0.8	4.1	3.5	3.0	2.8	2.8
EV/revenues (core)	1.5	1.0	0.9	4.8	3.4	2.9	2.8	2.9
EV/EBITDA (UBS core)	15.6	11.3	8.6	23.7	15.3	11.9	13.2	14.2
EV/EBIT (core)	>100	>100	60.6	35.0	19.6	14.5	16.6	18.2
EV/OpFCF (core)	69.1	50.0	>100	46.3	28.3	15.9	15.9	16.3
EV/op. invested capital	1.5	1.0	0.8	5.9	5.3	4.8	4.8	5.1

Enterprise value (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Market cap.	569,380	392,621	299,276	1,887,535	1,887,535	1,887,535	1,887,535	1,887,535
Net debt (cash)	62,023	87,060	103,399	105,373	119,847	137,307	137,307	89,886
Buy out of minorities	54,800	30,627	35,039	78,680	95,940	117,721	139,065	162,771
Pension provisions/other	12,788	10,304	8,661	7,954	7,954	7,954	7,954	7,954
Total enterprise value	**698,991**	**520,611**	**446,374**	**2,079,542**	**2,111,276**	**2,150,517**	**2,171,861**	**2,148,146**
Non core assets	(302,291)	(258,493)	(222,004)	(381,884)	(476,292)	(579,690)	(594,085)	(506,237)
Core enterprise value	**396,700**	**262,118**	**224,371**	**1,697,658**	**1,634,984**	**1,570,827**	**1,577,776**	**1,641,909**

Growth (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenue	(26.9)	(0.1)	0.1	36.8	33.4	14.5	3.5	1.0
EBITDA (UBS)	(51.6)	(9.0)	13.3	173.1	49.3	23.9	(9.8)	(3.3)
EBIT (UBS)	(93.8)	(77.4)	NM	NM	71.4	30.1	(12.4)	(4.6)
EPS (UBS, diluted)	(80.3)	(47.1)	35.3	NM	46.0	14.4	(43.6)	(26.8)
Net DPS	(76.7)	0.0	14.3	NM	(6.0)	(7.3)	(23.0)	(10.4)

Margins & Profitability (%)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Gross profit margin	7.4	7.2	8.3	19.2	21.9	23.9	20.6	19.5
EBITDA margin	9.8	8.9	10.1	20.1	22.5	24.4	21.3	20.4
EBIT (UBS) margin	0.8	0.2	1.4	13.7	17.5	19.9	16.9	15.9
Net earnings (UBS) margin	2.4	1.3	1.7	30.6	33.5	33.5	18.2	13.2
ROIC (EBIT)	0.7	0.2	1.3	16.8	27.0	33.3	28.9	28.2
ROIC post tax	0.5	0.1	0.5	7.6	13.5	18.3	20.1	21.4
ROE (UBS)	1.7	0.9	1.3	26.7	32.0	31.1	15.7	11.1

Capital structure & Coverage (x)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Net debt / EBITDA	3.0	4.2	4.2	1.4	1.3	1.0	0.9	0.6
Net debt / total equity %	20.2	27.0	29.3	21.3	24.7	20.4	15.1	9.8
Net debt / (net debt + total equity) %	16.8	21.3	22.6	17.6	19.8	16.9	13.1	8.9
Net debt/EV %	8.9	16.7	23.2	5.1	5.7	6.4	5.6	4.2
Capex / depreciation %	106.8	57.4	51.7	62.3	69.3	63.4	49.8	48.9
Capex / revenue %	9.2	4.9	4.4	3.9	3.4	2.8	2.1	2.1
EBIT / net interest	6.1	1.3	3.2	57.2	NM	68.0	40.9	46.7
Dividend cover (UBS)	1.1	0.6	0.7	1.3	2.0	2.5	1.8	1.5
Div. payout ratio (UBS) %	88.0	166.2	140.4	76.9	49.5	40.1	54.7	67.0

Revenues by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Electronic Materials	115,546	108,365	120,618	208,736	327,242	393,346	406,577	404,921
Chemicals	54,900	58,363	56,665	52,019	56,513	58,209	60,854	63,933
Polyester	45,211	48,510	41,698	48,786	46,347	46,347	47,983	49,921
Plastics (PVC Processing)	38,539	39,238	36,251	39,604	37,569	38,696	40,454	42,501
Others	5,559	5,132	4,680	6,402	6,640	6,516	6,183	6,244
Total	**259,755**	**259,608**	**259,912**	**355,547**	**474,311**	**543,114**	**562,051**	**567,520**

EBIT (UBS) by division (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Electronic Materials	5,589	(30)	5,287	44,375	80,146	103,998	89,191	84,569
Plastics (PVC Processing)	2,500	3,097	2,985	3,686	3,459	3,634	3,818	4,011
Polyester	(585)	(473)	(716)	115	(230)	12	235	240
Chemicals	(6,287)	(3,549)	(5,403)	(1,209)	(2,031)	(697)	359	370
Others	767	1,403	1,551	1,585	1,886	1,303	1,237	1,248
Total	**1,984**	**448**	**3,704**	**48,552**	**83,230**	**108,250**	**94,840**	**90,438**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Forecast returns

Forecast price appreciation	26.1%
Forecast dividend yield	4.2%
Forecast stock return	30.2%
Market return assumption	6.3%
Forecast excess return	23.9%

Company Description

Established in 1958 and listed on the TAIEX in 1967, Nan Ya Plastics one of the core companies of Taiwan's Formosa Group. Its businesses span electronic materials, chemicals, plastics processing and polyester. NYP is one of the largest copper clad laminates (CCL) producers, with a vertically integrated CCL value chain, supplying CCL to its 61%-owned subsidiary Nan Ya PCB and other printed circuit board (PCB) makers. It owns 29% of Nan Ya Tech, the only Taiwan-based dynamic random access memory (DRAM) brand. It also owns 23% of Formosa Petrochemical.

Valuation Method and Risk Statement

Nan Ya Plastics:
We base our price target for NYP on a SOTP valuation.
Key upside risks include: 1) stronger CCL pricing; 2) faster high-end CCL mix upgrades; and 3) a faster petchem margin recovery.
Key downside risks are: 1) a CCL pricing reversal on faster supply additions or weaker demand; 2) slower AI qualification/ramp of the company's CCL business; and 3) further weakening chemicals/polyester businesses.

Nan Ya Printed Circuit Board:
Our price target for Nan Ya Printed Circuit Board is based on P/E multiple methodology.
Upside risks include faster-than-expected ramp-up of networking/switches, stronger-than-expected pricing increase, better-than-estimated consumer demand, and continued tightness in BT substrates.
Downside risks include lower-than-expected ramp-up of networking/switch projects, lower-than-expected global PC/server demand, oversupply from capacity expansions, raw material cost increases, intensified competition, and a lack of spec upgrades and content increase.
As for industry risks, substrate applications are dominated by PCs, but servers, artificial intelligence and advanced computing are driving demand growth. We believe key risks to the industry include slower-than-expected growth in servers, networking, and high performance computing, ASP pressure, margin erosion, and lack of spec upgrades. We believe the flexible circuit board and high-density interconnect board segments are more vulnerable to fluctuations in the consumer product cycle and have lower visibility.

Nanya Technology:
Nanya Tech is a pure-play DRAM manufacturer based in Taiwan mainly focused on legacy DDR products for customers across various end applications. We think downside risks to our thesis could include a potential slowdown in end demand and hence the conventional memory cycle as well as Nanya's legacy-centric product portfolio. We value Nanya Tech shares using a target NTM P/BV multiple based on long-term average ROE and cost of equity.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Nan Ya Plastics

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	5
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	5
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	We expect the supply-driven CCL price upcycle to continue into 2027, leading to higher EM OPM.
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	4
7. What's driving the difference?	Potential upside from faster-than-expected qualification and ramp-up of high-end AI CCL products. Earlier customer adoption would increase AI mix, supporting higher ASPs and CCL margins.
8. Is there an upcoming catalyst for the company over the next three months?	Positive Catalyst
9. Is there an actual or approximate date for the catalyst?	December 31, 2026
10. Is the catalyst date an actual or approximate date?	Approximate
11. What is the catalyst?	Customer qualification and potential order wins for high-end AI CCL products from a US-based cloud service provider.

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is defined as expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is defined as the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged as UR by the analyst, indicating that the stock's price target and/or rating are subject to possible change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have an investment horizon of 12 months.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record, discount; **Neutral:** Neutral on factors such as structure, management, performance record, discount; **Sell:** Negative on factors such as structure, management, performance record, discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed to be very high or low risk may be subject to higher or lower bands as they relate to the rating. When such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

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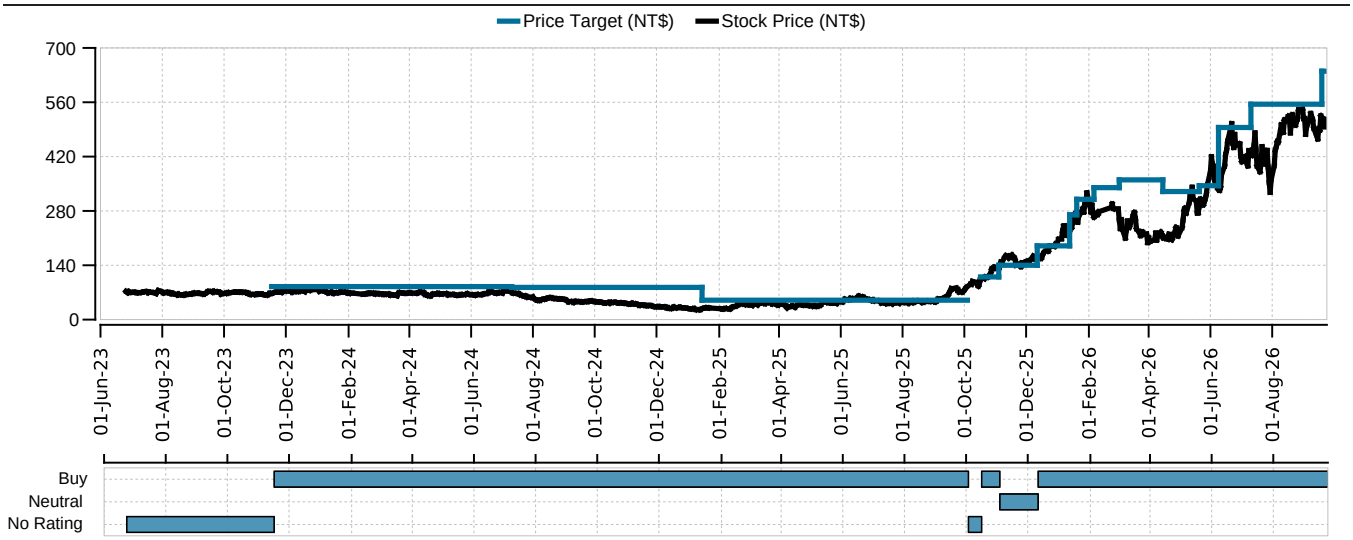
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Nan Ya Plastics[28]	1303.TW	Suspended	NT$238.00	24 Sep 2026
Nan Ya Printed Circuit Board	8046.TW	Neutral	NT$1,240	24 Sep 2026
Nanya Technology	2408.TW	Buy	NT$503.00	24 Sep 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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Nanya Technology (NT$)



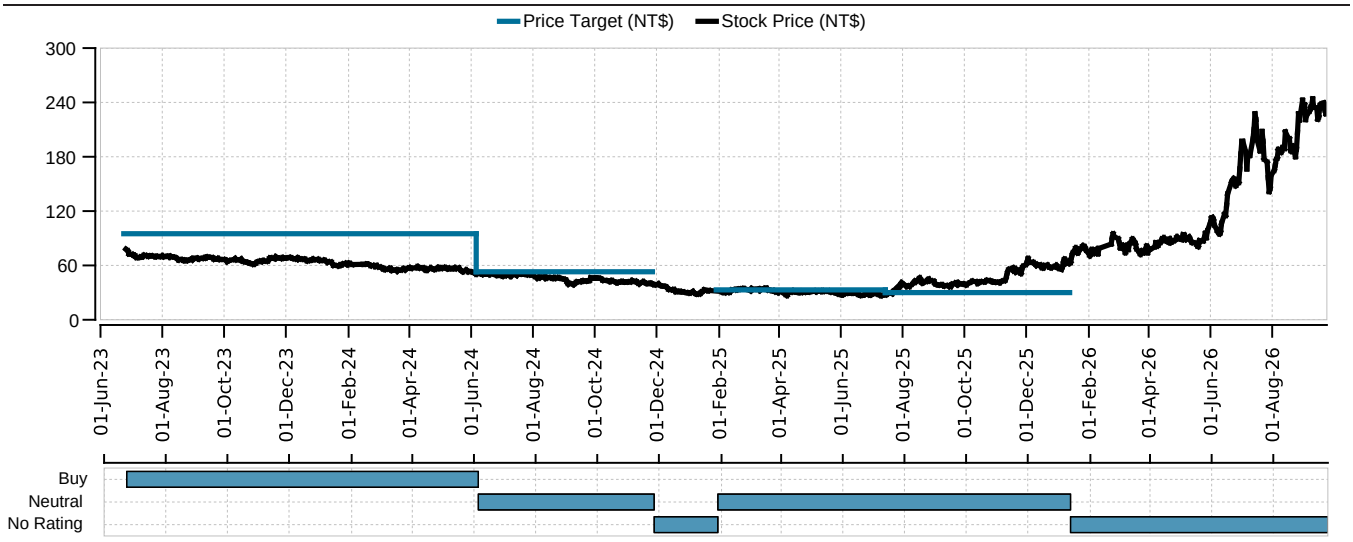
Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-06-23	NaN	-	No Rating
2023-11-16	67.20	85.00	Buy
2024-07-10	72.30	83.00	Buy
2025-01-14	26.65	50.00	Buy
2025-10-03	83.00	-	No Rating
2025-10-16	94.90	110.00	Buy
2025-11-03	137.00	140.00	Neutral
2025-12-11	156.00	190.00	Buy
2026-01-12	239.00	270.00	Buy
2026-01-19	275.00	310.00	Buy
2026-02-05	275.00	340.00	Buy
2026-03-02	285.00	360.00	Buy
2026-04-14	220.00	330.00	Buy
2026-05-20	275.00	345.00	Buy
2026-06-08	339.50	495.00	Buy
2026-07-10	435.50	555.00	Buy

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Date	Stock Price (NT$)	Price Target (NT$)	Rating
2026-09-18	525.00	640.00	Buy

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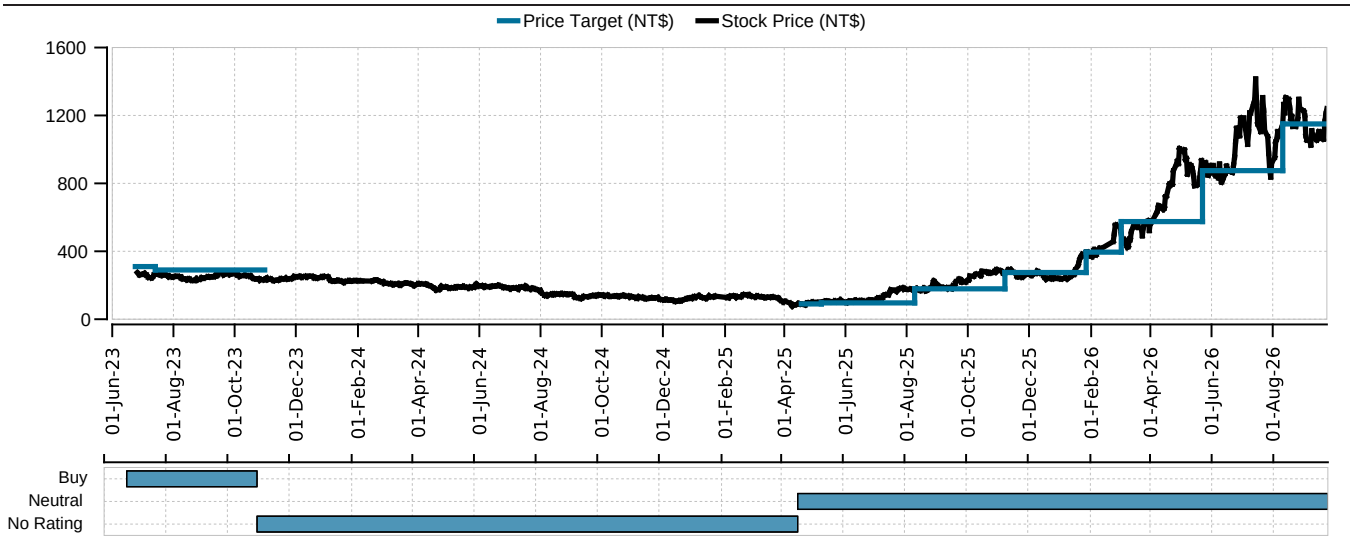
Nan Ya Plastics (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-06-23	NaN	95.00	Buy
2024-06-05	51.00	53.00	Neutral
2024-11-26	40.10	-	No Rating
2025-01-28	32.35	33.00	Neutral
2025-07-14	27.35	30.00	Neutral
2026-01-12	64.70	-	No Rating

Source: UBS Global Research; LSEG Eikon as of 24-Sep-2026. All prices as of local market close. Ratings as of date shown.

Nan Ya Printed Circuit Board (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-06-23	NaN	310.00	Buy
2023-07-13	264.50	290.00	Buy
2023-10-30	232.00	-	No Rating
2025-04-17	88.80	90.00	Neutral
2025-05-07	98.10	96.00	Neutral
2025-08-08	168.50	179.00	Neutral

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Date	Stock Price (NT$)	Price Target (NT$)	Rating
2025-11-06	273.00	275.00	Neutral
2026-01-26	370.00	395.00	Neutral
2026-03-02	541.00	575.00	Neutral
2026-05-22	934.00	875.00	Neutral
2026-08-10	1130.00	1150.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 24-Sep-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Formosa Plastics, NT$64.10 (24 Sep 2026); Formosa Petrochemical Corporation, NT$87.20 (24 Sep 2026); Formosa Chemicals & Fibre, NT$67 (24 Sep 2026); Source: UBS. All prices as of local market close.

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